

October 14, 2025

The Fragile Immune System: AI, Concentration, and VaR Shocks

Jordi Visser

JVisser@22VResearch.com
22vresearch.com

In a concentrated economy where wealth, profits, and innovation are clustered in a few dominant sectors and companies with low debt, the old playbook of credit-driven recessions no longer applies. With governments and central banks saddled with debt and deficits conditioned by decades of crises to intervene at the first sign of contagion, downturns are delayed or stopped rather than allowed to run their natural course. Yet as with all systems in nature, control has limits. As the naturalist John Muir once said, “When we try to pick out anything by itself, we find it hitched to everything else in the Universe.” In markets, this interconnectedness means that suppressing volatility in one area often amplifies fragility somewhere else. The more concentrated the system, the more it resembles a body that seems healthy on the surface but whose immune system has quietly weakened from lack of exposure.

That concentration of strength across markets, wealth, and corporate power creates a paradox. On one side, we see bubbles in innovation, productivity, and valuations; on the other, stagnation and silent recessions for the majority of people and sectors. This duality mirrors biological imbalance: an organism that overdevelops certain cells at the expense of others becomes vulnerable to systemic failure. When such an economy finally “gets sick,” corrections can be extreme rather than mild just like an immune system that, after years of suppression, overreacts when finally tested. That is the risk today: a system that has substituted resilience for constant rescue, one that has traded adaptation for protection, and one that may face its most severe illness not from neglect, but from overcare.

Right now, as I highlighted [in my recent video](#), I feel like the risk of the market getting sick for a few weeks has risen. No, this is not me believing AI is in a bubble. However, I think it important to share a few thoughts on both the positive and negative sides of AI and how it will impact the market structure as the “bubble” grows. In my opinion, there is no denying that AI will replace jobs and anxiety for workers will only worsen as time passes. It’s not speculation, it’s already showing in economic data and it will accelerate as agents, autonomous vehicles and humanoids grow. Like every major innovation in history, it will eventually create new forms of work and opportunity, but this time it’s different because AI isn’t about helping physical labor or software to help efficiency through human interaction, it’s about intelligence, creativity, and cognition. It’s about solving problems that humans alone cannot. AI has already conquered chess and Go, outperformed students on standardized tests, and now even beats humans in math Olympiads. To dismiss it as hype or a bubble is to misunderstand its inevitability. As intelligence becomes computable, its scale will follow the same exponential path as every other digital transformation. There will be extraordinary fortunes made along the way for companies positioned in the buildout, the infrastructure, the chips, the data centers, the software layers and investors who recognize this will have a generational opportunity.

However, while the total revenue pool for AI will eventually justify the capital spending, I don’t believe the current market leaders will all earn enough to balance out their investments. Yes, I do not think the capex will end up being a good decision for all the spenders. I believe the AI revenues will dwarf any estimates out there but I do not believe they all will proven to be smart decisions. For many or even most, the returns on spending will compress as competition from startups and private firms expands. In the era ahead, “price-to-sales” will become what “debt-to-equity” once was, the measure of financial or at least stock multiple vulnerability. A company without debt but with an extreme price-to-sales ratio is still fragile because it’s reliant on revenue growth that may not materialize. As innovation diffuses, margins shrink. As someone over 55 who fully embraces AI as the greatest personal and societal innovation of our lifetimes but also knows there are no free lunches, I see both the promise and the peril: the promise of abundance and problem-solving, and the peril of a market that mistakes exponential change for infinite growth.

All of this is to say that as AI accelerates, the economic and market immune system, the equivalent of a diversified microbiome begins to weaken. In a world where intelligence, productivity, and capital are concentrated, the system becomes more efficient but also more brittle. Instead of traditional recessions, what we are likely to experience are **VaR shocks**—sudden and violent repricings of risk. Hedge fund gross leverage is near all-time highs, which means the system is collectively betting on stability. But every form of leverage is ultimately a bet on something: a relationship, a pattern, a correlation that continues to hold. When those relationships change abruptly, the immune system gets tested and today's system has been engineered to avoid even mild fevers.

In credit markets, the danger is clearest. Private credit has exploded in a world where the broader economy remains uneven and heavily supported. These structures depend on a slow, predictable credit cycle with defaults rising gradually, liquidity absorbing shocks. But if weakness emerges suddenly, especially through fraud or structural cracks, the adjustment will not look like a typical credit downturn; it will look like a VaR event. Similarly, in market-neutral strategies, leverage depends on the covariance matrix on stable relationships between volatility, correlation, and liquidity. AI itself threatens that stability by changing how capital moves, how liquidity clusters, and how correlations form. As machine learning systems identify the same signals and react in the same milliseconds, the market's diversity of behavior, its microbiome, shrinks. The immune system, once adaptive and resilient, now shows the early signs of exhaustion. When the next shock comes, it may not be deep because of fundamentals, but because the body has forgotten how to fight.

In my latest video, I highlighted a cluster of “immune-system” warnings that, taken together, raise the odds of a VaR shock into month-end. Odds rising does not mean it will happen, but I think the risk of it is rising by the day. Crowded hedge-fund longs have ripped relative to the most crowded shorts; equity-specific volatility is being bid (seen in VIXEQ) even as index volatility (the VIX) lags; credit spreads are widening post First Brands and Tricolor and business development companies (BDCs) and publicly traded private equity firms are showing early signs of contagion risk. Overlay this with the AI-driven market concentration and the fresh escalation in U.S.–China trade tensions, especially around AI dependent rare earths, and the probability of a deal by the assumed Trump–Xi meeting at APEC looks increasingly less certain. Despite this, betting markets still price an 80% chance of resolution by November 10th, which means any deviation from that assumption could spark further repricing as uncertainty builds. My gut tells me these odds and people's lack of worry over this dispute is a representation of the TACO PTSD that exists. Only recently do I think the last of the tariff fear holdouts capitulated. Nobody wants to deal with another bout of this.

Positioning only amplifies this fragility. We're entering earnings season with buyback windows closed, vol-control and CTA models extended long, and retail momentum still driving flows. These are mechanical exposures, algorithms buying strength and selling weakness, creating a system dominated by reflex rather than discretion. If credit cracks suddenly or AI-driven correlations invert, leverage could unwind violently. This is the essence of a VaR shock: not a fundamental collapse, but a liquidity event triggered by forced repositioning. The immune system doesn't fail because of a virus; it fails because its defenses are already overextended.

And to be clear, this may sound like a market paper, but it's really an AI paper. The debate around an “AI bubble” reveals a deeper misunderstanding. Many of those calling it a bubble are people with extraordinary experience and success; people whose instincts about cycles and valuations are sharp precisely because they've seen how “free lunches” end. They're not wrong to sense danger. But they're also not living with AI every day. They're not building with it, prompting it, or watching how fast it learns. Their skepticism is born of market wisdom, not ignorance but both sides of this argument can be true. AI can dominate markets and drive indexes higher for years, while simultaneously creating the most violent divergence between winners and losers we've ever seen.

That is the paradox of this moment. The bubble may not be in prices rising, it may be in the gap between what rises and what doesn't. A system that rewards concentration, suppresses volatility, and accelerates intelligence will inevitably produce extremes. And like any biological system that grows too efficient, it becomes vulnerable to its own success. The immune system of the market, strained, overleveraged, and guided increasingly by machines is warning us. The next illness won't look like the last. It won't be a recession. It will be a shock that reminds us that even in the age of artificial intelligence, nature still insists on balance. As Nassim Taleb said in his great book *Antifragile*, “*The artificial suppression of volatility increases fragility.*”

DISCLOSURES AND DISCLAIMERS

Analyst Certification

The analyst, 22V Research Group, primarily responsible for the preparation of this research report attests to the following: (1) that the views and opinions rendered in this research report reflect his or her personal views about the subject companies or issuers; and (2) that no part of the research analyst's compensation was, is, or will be directly related to the specific recommendations or views in this research report.

Analyst Certifications and Independence of Research.

Each of the 22V Research analysts whose names appear on the front page of this report hereby certify that all the views expressed in this Report accurately reflect our personal views about any and all of the subject securities or issuers and that no part of our compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views of in this Report.

22V Research (the "Company") is an independent research provider. The Company is not a member of the FINRA or the SIPC and is not a registered broker dealer or investment adviser. 22V Research has no other regulated or unregulated business activities which conflict with its provision of independent research.

22V Research, LLC is a professional services and independent publication organization. 22V Research, LLC is not a securities broker-dealer, not a member of the Financial Industry Regulatory Authority (FINRA), not a registered investment advisor (RIA) and not a member of SIPC.

Securities transactions, when offered, are offered by 22V Securities, LLC through LPS Capital, LLC. Certain employees of 22V Securities, LLC are dually registered as securities representatives of LPS Capital, LLC or Analyst Hub Securities, LLC. 22V Securities, LPS Capital and Analyst Hub Securities are members FINRA, SIPC.

<https://brokercheck.finra.org/>

Current Ratings Definition.

SECTOR OUTPERFORM: An "outperform" rating anticipates the company will outperform the S&P Regional Banking Index (peer group).

SECTOR PERFORM: A "market perform" rating anticipates the company will perform in line with the S&P Regional Banking Index (peer group).

SECTOR UNDERPERFORM: An "underperform" rating anticipates the company will underperform the S&P Regional Banking Index (peer group).

Limitation Of Research And Information.

This Report has been prepared for distribution to only qualified institutional or professional clients of 22V Research Group. The contents of this Report represent the views, opinions, and analyses of its authors. The information contained herein does not constitute financial, legal, tax or any other advice. All third-party data presented herein were obtained from publicly available sources which are believed to be reliable; however, the Company makes no warranty, express or implied, concerning the accuracy or completeness of such information. In no event shall the Company be responsible or liable for the correctness of, or update to, any such material or for any damage or lost opportunities resulting from use of this data. Nothing contained in this Report or any distribution by the Company should be construed as any offer to sell, or any solicitation of an offer to buy, any security or investment. Any research or other material received should not be construed as individualized investment advice. Investment decisions should be made as part of an overall portfolio strategy and you should consult with a professional financial advisor, legal and tax advisor prior to making any investment decision. 22V Research Group shall not be liable for any direct or indirect, incidental or consequential loss or damage (including loss of profits, revenue or goodwill) arising from any investment decisions based on information or research obtained from 22V Research Group.

Reproduction And Distribution Strictly Prohibited.

No user of this Report may reproduce, modify, copy, distribute, sell, resell, transmit, transfer, license, assign or publish the Report itself or any information contained therein. Notwithstanding the foregoing, clients with access to working models are permitted to alter or modify the information contained therein, provided that it is solely for such client's own use. This Report is not intended to be available or distributed for any purpose that would be deemed unlawful or otherwise prohibited by any local, state, national or international laws or regulations or would otherwise subject the Company to registration or regulation of any kind within such jurisdiction.

Copyrights, Trademarks, Intellectual Property.

22V Research Group, and any logos or marks included in this Report are proprietary materials. The use of such terms and logos and marks without the express written consent of 22V Research Group is strictly prohibited. The copyright in the pages or in the screens of the Report, and in the information and material therein, is proprietary material owned by 22V Research Group unless otherwise indicated. The unauthorized use of any material on this Report may violate numerous statutes, regulations and laws, including, but not limited to, copyright, trademark, trade secret or patent laws.